Table 23.10 Trading Tactics

Trading Tactic	**Explanation**
Measure rule	Measure the diamond height from the highest high to the lowest low and then add the result to the breakout price if the breakout is upward; subtract the height from the breakout price for downward breakouts. The result is the target price. The bottom portion of the table shows how often the measure rule works.
Quick rise/fall	Price often returns to the launch price following a quick rise or fall preceding the diamond.
Wait for breakout	The diamond can break out in any direction, so wait for the breakout.
Busted trade	See Table 23.9

Description	**Up Breakout**	**Down Breakout**
Percentage reaching half height target	88%	82%
Percentage reaching full height target	73%	55%
Percentage reaching 2× height	50%	23%
Percentage reaching 3× height	34%	12%

Once you have a target, you can use the diamond's height to see if the target is reasonable. Let's use the left diamond's numbers. Divide the diamond's height (7.62) by the breakout price (73.50) to get a potential 10% drop. Table 23.3 shows that 37% of diamond bottoms with downward breakouts in bull market will fail to see price drop more than 10%. Flipping that around, it also means that 63% of the time, the stock will reach a target 10% below the current price. That's not terrific, but it's not awful, either.

Quick rise/fall. Figure 23.7 also shows an alternative way of determining the magnitude of the rise or decline. When price shoots upward leading to the start of the diamond (in the case of the left diamond), a quick decline often follows, which can take price back to the launch point (often stopping just above it). I show this as the “Expected Decline” in the figure.